

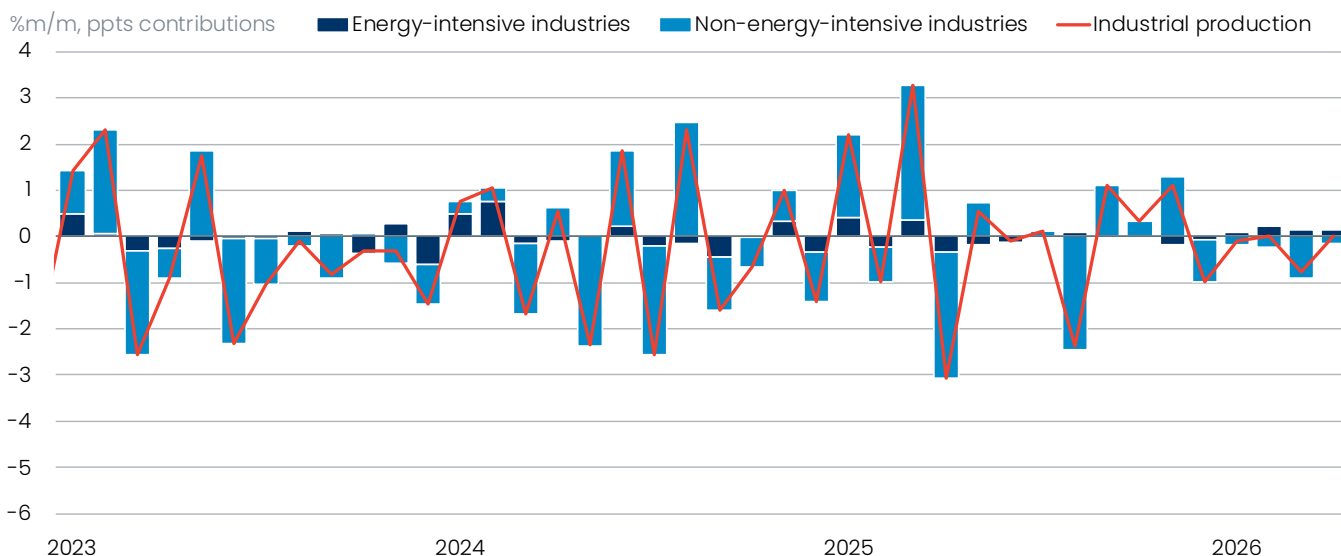
Industry resilience in April may not last through Q2

- The April expansion of German industrial production underscores the resilience also reflected in yesterday's factory orders print. But it was mainly volatile parts of the construction sector that flattered the print while automotive production tanked. Still, the global energy price shock has led to competitiveness gains in energy-intensive sectors that for now provides an offset to global demand headwinds.
- Trade data painted a mixed picture as exports edged up in April but faster import growth lowered the trade surplus to €14.5bn. Trade within the EU remains a key source of strength for the German economy with exports rising stronger than imports.
- Today's prints are broadly consistent with mild Q2 contraction in German GDP as manufacturing output continues to disappoint. The incoming fiscal impulse and gradually easing energy costs remain the key upside catalysts for H2, but a shaky ceasefire in the Middle East poses the key downside risk as the conflict drags on.

German industrial production (including construction) rose 0.4% m/m in April, following a 0.1% m/m contraction in March after data revisions. This leaves output marginally above the Q1 average offering more signs of [industrial resilience](#) to the energy price shock. But the headline was flattered by a 2.4% jump in construction output which in part reflects normalising weather after a harsh winter. In addition, the more volatile and revision-prone part of construction drove this, so there are risks of payback next month. In contrast, manufacturing output was flat, with intermediate and consumer goods providing modest support while capital goods fell 1.5% m/m, dragged down by a 4.7% m/m slump in car production. This leaves industrial production excl. construction below the first quarter and well below the strong readings at the end of last year. Still, a 1.0% gain in energy-intensive sectors is a welcome sign that German industry has – at least temporarily – regained some competitiveness amidst a global energy price surge. Overall, the upward revision to March reduces the scale of Q1 weakness and removes some of the downside risk to our Q2 GDP call.

Chart 1: Energy-intensive sectors supported industrial production (excl. construction) in April

Germany: Industrial production breakdown



Sources: Oxford Economics, Haver Analytics

Trade data offer a similarly uneven signal. Exports edged higher on the month, carried by resilient intra-EU demand. Exports to the US rebounded 1.8% m/m but remain well below their level from a year ago. Shipments to China fell a further 3.5% m/m. On the import side, the bill is rising faster than export receipts, compressing the trade surplus to its lowest level in over a year. Net trade is thus providing little support to German GDP in Q2 so far, and may increasingly act as a drag if the trade surplus shrinks further.

Today's data reinforce a picture of tentative stabilisation rather than a genuine recovery. [Factory orders](#) fell 3.8% m/m in April but remain above pre-war levels, and real turnover held up. With manufacturing output stagnant and the auto sector under continued structural and cyclical pressure, the risks to the rebound we expect in H2 depends heavily on fiscal spending broadening its sectoral reach and energy prices falling off their recent peaks.